



Qualification Programme Examination Panelists' Report

Module 14 – Taxation (December 2023 Session)

(The main purpose of the following report is to summarise candidates' common weaknesses and make recommendations to help future candidates improve their performance during the examination.)

(I) Section A – Case Questions

General Comments

The case story involved a typical trading business with some offshore and cross-border business activities. The questions in this section covered topics including profit source, expense deduction, penal actions, etc. Candidates' performance on these questions was satisfactory, particularly for those who studied past examination papers in detail.

On the other hand, practical questions that required candidates to exercise their comprehension and analytical skills to develop their answers in a presentable manner remained a challenge to most candidates. However, being able to apply analytical skills to novel and unique situations is an essential skillset which all professional accountants should possess.

The key to success on this section was the proper use of the information provided in the case details to support candidates' analyses. The provided information was written in a way to direct candidates' thinking in the correct direction. As such, there was no need for candidates to make any assumptions. Candidates are thus reminded to read the questions carefully and make sure they understand them thoroughly, and to avoid simply copying model answers from past examination papers that may otherwise be irrelevant to the question requirements.

Last but not least, candidates are reminded to pay attention to their time management. Problems with time management were particularly apparent during this examination session as candidates who chose not to attempt some of the questions scored very low overall marks, though they performed well in other questions they were familiar with. Candidates should thus take an open approach to answering practical questions that at the outset may seem very difficult, as they may in fact only require simple answers. Candidates are encouraged to attempt these practical questions by writing their answers from a business-focused perspective, which may earn marks. Candidates should never underestimate the impact unattempted questions may have on overall examination performance.

Specific Comments

Question 1(a) – 9 marks

This question required candidates to demonstrate their knowledge of and analytical

thinking regarding the source of trading profit, as based on the specifics of the case. Overall results were very satisfactory, with many candidates scoring full or nearly full marks as this topic has been tested many times in prior examination sessions and the expected approach to answering this question during this examination was not too different from that in past examinations. Nonetheless, a number of candidates wrote very long answers in an attempt to cover various key points, though not all the points discussed were relevant to the question. This strategy may have negatively affected the time candidates had to answer the rest of the questions on the examination.

Question 1(b) – 3 marks

This question required candidates to demonstrate their practical knowledge of relevant documentary evidence to support a profit source analysis. This was a highly practical question; however, the answer could be easily deduced from the case information where the trading business operation was described in detail. Many candidates managed to give at least one to two pieces of relevant documentary evidence, so overall results were satisfactory. This illustrates the importance of carefully reading the case information provided.

Question 1(c) – 3 marks

This question required candidates to apply their knowledge of agency Permanent Establishment ("PE") on the fact pattern and to come up with a conclusion. Results were diverse. For candidates who correctly referred to the post-acquisition China activities of Peter and the trainee, they came to the correct conclusion. Some candidates, however, answered in the wrong direction due to basing their answers on irrelevant assumptions. Indeed, the description of the post-acquisition activities was highly related to the effectuation of the sales contract, and the question also specifically required advisory on agency PE. Again, it is important to read the question requirements carefully.

Question 2(a) – 3 marks

This question required candidates to apply the general expense deduction in light of the Inland Revenue Ordinance ("IRO") to analyse the deductibility of a royalty expense. Although this was a very straightforward question, results were diverse. Most candidates accurately cited the conditions for tax deduction under s.16(1) of the IRO; however, not all continued to explain how the royalty expense could satisfy the relevant conditions and, thus, failed to come to the correct conclusion. Some candidates for unknown reasons wrote their answers in the wrong direction, such as by discussing taxation of the corresponding royalty income, deeming provision of the IRO, withholding tax requirements, etc., and therefore failing to score any marks.

Question 2(b) – 4 marks

This question required candidates to demonstrate their understanding of situations leading to double taxation and relief under the Double Tax Agreement ("DTA"). This is a common topic that has appeared in past examination sessions, so most candidates

wrote mark-scoring points in a decent structure and thus managed to obtain satisfactory results. Unfortunately, quite a few candidates spent time discussing irrelevant points, such as reduced withholding tax rate under the DTA, analysis of PE, and whether the recipient was carrying on business in Hong Kong. This adversely affected these candidates' time management.

Question 3(a) – 6 marks

This question tested candidates' understanding of IRO's requirements for the preparation of Master File and Local File and application of the same. To obtain satisfactory results, candidates had to demonstrate strong analytical skills by picking the most relevant information in the case to help them in their tax analysis. The two most important pieces of information were: (1) no related party transaction before acquisition; and (2) the new inter-company loan post-acquisition. Some candidates correctly identified this information and thus scored very high marks without having to write very lengthy answers. Others quoted the IRO's requirements without providing an in-depth analysis and therefore only received fair results.

Question 3(b) – 10 marks

This question required candidates to write a tax advisory letter on possible penal actions under the IRO for an incorrect tax return filing. Again, this has been a very common topic in past examination papers, and therefore most candidates wrote relevant points in a logical and easy-to-read manner. Candidates' performance was satisfactory. Unexpectedly, some candidates advised Mary on taxation of gifts, or on the employer's reporting obligation, which were not relevant to the question requirements. This should be avoided, as candidates could have earned substantial marks easily if they had read the question requirements carefully.

Question 4(a) – 6 marks

This question required candidates to demonstrate their understanding of the factors that can improve/worsen the process of tax audits concerning historical transactions. This question was highly practical and required candidates to give some thoughts on certain business ideas that some taxpayers might consider effective. Performance was very diverse. Some candidates made good attempts by trying to put forward sensible points through logical thinking. Candidates scored satisfactory marks as long as their answers were reasonable and logical.

Probably due to the lack of practical experience in handling a tax audit, or due to insufficient time to write the answer as they had spent disproportionate time in answering earlier questions, some candidates simply skipped this question and therefore scored no marks. Candidates are reminded to take an open approach in answering this type of question, stepping into the shoes of a professional accountant with a faithful and sensible mind set to tackle the question.



Question 4(b) – 6 marks

This question required candidates to demonstrate the proper approach to handle a tax audit, manage the process, and control the risk. Candidates' performance was similar to Question 4(a), wherein some candidates with perseverance continued to put effort into writing sensible points that justified their conclusions. In most situations, candidates still scored some marks if they attempted this question, even with imperfections in the thinking process and the flow of ideas. Others simply skipped this question and scored no marks. Overall performance was diverse.

(II) Section B – Essay/Short Questions

General Comments

This section contained questions on different taxation issues, including source of employment income, tax allowances, profits tax deductions, tax administration, tax credit, property tax, and anti-avoidance provisions. There was also a sub-question on ethics in tax practice. In general, candidates demonstrated good knowledge of certain basic tax problems, e.g. Questions 5, 6(b) and 8(a), where they scored reasonable marks. Candidates' performance in Questions 7(b) and (c) about tax credit was also fair. Their effort on studying the mechanics of tax credit, which is an area of increasing prevalence, paid off. However, performance on Questions 6(c) and 7(a) was far from satisfactory, probably due to candidates' lack of practical experience. Overall, performance on this section was acceptable and did not show much variance from previous sessions.

Specific Comments

Question 5(a) – 10 marks

This question required candidates to formulate a salaries tax exemption claim based on the case facts. The majority of candidates correctly identified the background information indicating that Mr Jones' employment with KLM bore the characteristics of a non-Hong Kong employment, and thus focused their analyses as such. Certain candidates spent time discussing the income exclusion provisions under ss.8(1A)(b)(ii), 8(1B), and 8(1A)(c) of the IRO, which were all irrelevant. Overall performance on this question was good.

Question 5(b) – 3 marks

This question tested candidates' knowledge of the married person's allowance and the dependent parent allowance. While most candidates got the correct answer in respect of the dependent parent allowance, quite a number were not aware that one of the situations for the married person's allowance to be granted is that the taxpayer's spouse must have no assessable income. In passing, reference should be made to the interpretation in section 2(3) of the IRO when considering whether the couple in the case was "living apart" for the purpose of the IRO. Performance on this question was satisfactory.



Question 6(a) – 4 marks

This question required candidates to analyse the ethical considerations of Ben & Co., a tax advisor. Most candidates only gave certain standard answers on code of ethics, without application to the case facts. Some even misread the question and wrote answers from Peggy's perspective. Candidates are reminded that the key to earning high marks is the application of laws and principles to the facts. Performance on this question was fair.

Question 6(b) – 6 marks

This question required candidates to advise on the tax treatment of the bad debt and business trip expenses, and to prepare a tax computation of the corporation. The vast majority of candidates performed well in this question as the deduction items were straightforward. Nonetheless, candidates should pay special attention to the applicable tax reduction, if any, in computing the actual tax payable for the given year of assessment.

Question 6(c) – 3 marks

This question continued on from the answer in Question 6(b) and required candidates to advise on the way forward for the taxpayer who found that the estimated profits assessed by the Inland Revenue Department was less than the actual profits. While this question was rather practical, it should not be difficult for candidates to gain reasonable marks if they approached the case using common sense. Candidates should also make sure that they understand the difference between objection under s.64 of the IRO, correction of error or omission under s.70A of the IRO, and the assessor's power to raise additional assessment under s.60 of the IRO. Performance on this question was less than satisfactory.

Question 7(a) – 3 marks

This question required candidates to compare the situations of Ray and Lily and to explain the different tax treatments they received. Again, this was a highly practical question which tested candidates' awareness of the important development of a specific area of law. On the whole, performance on this question was below expectations. Having said that, certain outstanding candidates scored full/nearly full marks in this question. Overall, candidates should avoid making unnecessary assumptions in their answers, which do not help gain additional points.

Question 7(b) – 7 marks

This question required candidates to compute the tax credit limit allowable, and the amount not allowed as tax credit, in a salaries tax context. Performance on this question was diverse. While a considerable number of candidates failed to attempt the question, those who were able to apply the tax credit formulae generally obtained satisfactory marks. Tax credit computation is a vital component under the current statutory and DTA regime. Candidates should thus ensure they have a thorough



understanding of this topic.

Question 7(c) – 3 marks

This question required candidates to prepare the salaries tax computation, incorporating their answers from Question 7(b). Unsurprisingly, candidates who managed to prepare a logical tax credit computation in Question 7(b) gained satisfactory marks in Question 7(c). Performance on this question remained diverse.

Question 8(a) – 7 marks

This question contained two sub-parts. The first sub-part was a simple calculation of property tax liabilities. Around two-thirds of the candidates prepared an accurate computation. Again, candidates should not make unnecessary assumptions which may guide them to a wrong answer. The second sub-part was more challenging and required candidates to compute the couple's tax liabilities under property tax and profits tax if their plan was implemented. Quite a number of candidates omitted the computation of property tax liability under the plan. Candidates should also be mindful of the operation of loss set-off under profits tax. Performance on this question was fair.

Question 8(b) – 4 marks

This question required candidates to briefly discuss the applicability of general anti-avoidance provisions in the given case. Candidates who correctly identified ss.61 and 61A of the IRO received fair marks, yet they are advised to expand their answers on the application of laws to the specific facts. Some candidates mentioned irrelevant rules such as transfer pricing or s.38B of the IRO. Performance on this question was less than satisfactory.

(III) Conclusion and Recommendation

Candidates are always encouraged to exercise good time management and attempt all questions, even those they are unfamiliar with. They should try to understand the question requirements and avoid reading too much into the question or making assumptions that are not intended nor required. If the question indeed requires candidates to make certain assumptions, it would normally be stated in the question. Moreover, candidates should be aware of the one-off tax concessions applicable in each year of assessment and incorporate them into the tax computations as appropriate. To attain better results, candidates are encouraged to have balanced knowledge of both fundamental tax issues and newly introduced tax regimes.